

Alongside a direct – albeit so far relatively contained – build-up of fiscal premium, the euro continues to suffer from an unwinding of ECB rate hike expectations due to French bond turbulence. Risks remain firmly on the downside for EUR/USD. Elsewhere, markets will seek clarity on a November hike from Bank of England speakers this week

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USD: Staying supported

The dollar has continued to find support at the start of this week. The euro's idiosyncratic weakness is still playing a role, and so are global bond yields that keep pushing higher. Strong equity performance likely capped USD gains and allowed some high-beta currencies to outperform, but the domestic backdrop remains constructive for the greenback.

Yesterday, the ISM services index eased to 54.9 from 55.4 (consensus 55.0), but remained firmly in expansion territory.

Business activity and new orders softened, though stronger employment and order backlogs, alongside a fresh high in prices paid, helped offset the decline. Overall, slightly hawkish news if anything (especially on jobs and prices), but not enough to materially alter the Fed narrative. Markets are likely to remain comfortable with an October hold provided September core CPI (released on 14 October) prints at 0.2% MoM, which is where consensus is converging. But a hike in December remains the base case, also for our macro team.

Today's calendar is lighter, with only trade data and weekly ADP payrolls. There are a few Fed speakers to watch: Williams, Musalem,

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Pricing for the March ECB meeting has declined from 80bp on 24 September to 45bp now. This has been a very EUR-specific move and has pushed the EUR:USD two-year swap rate differential (ESTR-SOFR) to -167bp. The last time the spread was at these levels was in August 2025. At that point, EUR/USD was trading around 1.16-1.17, but that reflected a sizeable USD-specific risk premium after Liberation Day and a sharp rise in USD hedging demand. Before Liberation Day, a swap spread at current levels was consistent with EUR/USD closer to 1.08.

Some relief in French bonds yesterday helped EUR/USD recover to just above 1.120 after a fall to 1.1160, but we don't have much confidence in a sustained rebound. The fiscal risk premium is still relatively limited, leaving scope for EUR/USD to test 1.110 or even 1.100 if bond market stress intensifies. Markets are now awaiting details from Marine Le Pen on a counter-budget.

Francesco Pesole

➔ **GBP: BoE speaks to shed light on November hike**

The spotlight this week is focused on Bank of England speakers

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suspect EUR/GBP may reach 0.840 before clear support emerges.

Francesco Pesole

⬆ **CZK: Inflation to revive hawkish CNB bets**

Czech September inflation is due today. We expect headline inflation to rise from 1.9% to 2.5% year-on-year, slightly above market expectations and the CNB's August forecast of 2.2%. As in Poland last week, higher fuel prices should be the main driver. However, the CNB is more focused on core inflation, where the

outlook is less favourable; we expect it to edge up from 3.0% to 3.1%.

With energy prices still elevated and little relief in sight, we expect the CNB to hike again in November. It would take a sizeable downside inflation surprise to avert a hike. Although growth is weaker than the CNB expected, household consumption remains resilient and the main engine of the economy. Next year's draft budget also provides another boost to public sector wages and pensions. Meanwhile, domestic energy suppliers are announcing price increases for the coming months, with most repricing likely in January, probably the central bank's key concern. While the CNB

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